



INSURANCE AND PENSIONS COMMISSION

LIFE ASSURANCE SECTOR REPORT

FOR THE HALF YEAR ENDED 30 JUNE 2020



HEAD OFFICE 160 Rhodesville Ave, Greendale, Harare
COMPLAINTS HANDLING OFFICE- Kingstons House, Cnr Leopold
Takawira/Kwame Nkrumah Avenue, Harare



+263 (242) 443358/59/61 | +263 (242) 443322
+263 772 154 281-4 | +263 (242) 444033



www.ipec.co.zw

Disclaimer

- i. This report including enclosures and attachments, has been prepared by the Insurance and Pensions Commission (IPEC) solely for informative purposes to the insurance sector stakeholders, and may not be reproduced, redistributed, communicated to a third party or relied upon by any other person for any other purpose without the Commission's prior written consent.
- ii. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.
- iii. This report relates to Life assurance business and funeral assurance business written by life assurers.
- iv. Please Note: All Monetary Figures are in ZWL\$ except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD were converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 2019.
- v. All amounts in this report are in nominal terms and in ZWL\$000, except where specifically stated to be in real terms.

CONTENTS

STINTEN CONTENTS

1.	Executive Summary	3
2.	Introduction.....	4
3.	Terms of Reference.....	5
4.	Economic Developments.....	5
4.2	Domestic Economic Outlook	5
4.3	Currency Reforms an Exchange Rate Developments	5
4.4	Inflation Developments	6
4.5	Trends in the Real Estate Market	6
4.6	Trends on the ZSE.....	7
4.7	Trends in the Money Market	7
5.	Sector Architecture	7

Part A: Life Assurance Business

6.	Performance in terms of Gross Premium Written.....	9
7.	Capitalisation.....	10
8.	Asset quality.....	11
9.	Reassurance	12
10.	Earnings.....	12
11.	Liquidity.....	12
12.	Market Share	13

Part B: Life Reassurance Business

13.	Nature of the reinsurance business	14
14.	Performance in terms of Business Written	14
15.	Capitalisation	14
16.	Asset Quality	15
17.	Earnings	15
18.	Liquidity	16
19.	Market Share	16
21.	Conclusion	17
22.	Annexures	

List of tables

Table 1: Financial Indicators.....	8
Table 2: Distribution of Agents, staff and branches across Life Assurers.....	8
Table 3: Business composition by product line.....	9
Table 4: Not taken up policies.....	10
Table 5: Lapse ratios.....	10
Table 6: Trend in capital positions for life assurers.....	11
Table 7: Breakdown of GPW for reassurers.....	14
Table 8: Trend in the Capital Position for Composite Reassurers.....	14
Table 9: Prescribed assets ratios for sector players.....	15

List of Figures

Figure 1: Foreign Currency Exchange Rates.....	6
Figure 2: Inflation Developments.....	6
Figure 3: Distribution of GPW by product.....	9
Figure 4: Business Composition for Life assurers.....	10
Figure 5: Assets breakdown.....	11
Figure 6: Market Share in terms of GPW.....	13
Figure 7: Distribution of assets per by player.....	13
Figure 8: Life Reassurers Total Assets.....	15
Figure 9: Market Share by Gross premium written.....	16
Figure 10: Market Share distribution in terms of total assets.....	16

1. Executive Summary

1.1 For the six months ended 30 June 2020, the life assurance sector was composed of 12 direct life assurance companies, 4 composite reinsurance companies and 1357 agents.

1.2 Gross premium written (GPW) by direct life assurance companies for the six months ended 30 June 2020 amounted to ZWL\$1.18 billion, representing a nominal increase of 367.13% from ZWL\$252.18 million reported in the comparative period in 2019.

1.3 In inflation adjusted terms GPW experienced a negative growth of 44.21% to ZWL\$140.69 million, indicating inability of premiums to track inflation.

1.4 Growth in nominal GPW was mainly driven by growth in funeral assurance and fund business of ZWL\$388.54 million and ZWL\$351.14 million respectively as compared to business reported in the comparable period in 2019.

1.5 GPW for life reinsurers grew nominally by 539% from ZWL\$6.55 million reported in the six months ending 30 June 2019 to ZWL\$41.81 million for six months ending 30 June 2020.

1.6 In inflation adjusted terms the sector experienced negative growth of 23.81%.

1.7 The Commission urges the life assurance sector to be innovative and come up with products that respond to changing needs of their customers, especially in the obtaining fluid and dynamic economic environment. And also the need to adapt to disruptions brought about by COVID-19

1.8 Players are also urged to re-engineer their business models in a way that enables them to respond and adapt to market shocks such as pandemics and economic downturns that are becoming more frequent than they used to.

1.9 For the six months ended 30 June 2020, nine (9) out of twelve (12) life assurance companies and one (1) of the four (4) life reinsurance companies reported capital positions which were in compliance with the prescribed minimum capital requirements of ZWL\$75 million and ZWL\$112.5 million respectively.

1.10 The Commission continues to underscore the need for players to always be compliant with the required minimum capital requirements as this gives comfort to the insuring public that their interests are being protected in times of bad claims experience.

1.11 As at 30 June 2020, direct life insurers had an asset base of ZWL\$49.81 billion, a 134.62% nominal growth as compared to ZWL\$21.23 billion that was reported as at 31 March 2020.

1.12 Growth in the asset base of the sector was mainly driven by large increases in the value of equity investments and fixed properties of ZWL\$14.84 billion and ZWL\$10.44 billion respectively.

1.13 The increases in these two classes were mainly driven by revaluation gains on equities and revaluation of properties on fixed property, mainly in response to exchange rate movements.

1.14 The asset base for composite reinsurers grew by 147.64% from ZWL\$331.96 million as at 31 March 2020 to ZWL\$822.05 million as at 30 June 2020.

1.15 Growth in assets for composite reinsurers was mainly driven by revaluation and gains in equity investments which increased by ZWL\$433.73 million.

1.16 As at 30 June 2020, the average prescribed assets ratio for life insurers and life reinsurers stood at 9.24% and 0.24% respectively.

1.17 One out of 12 direct life assurance companies was compliant with the required prescribed assets ratio while all reinsurers were not compliant with the minimum prescribed asset ratio of 15%.

1.18 The Commission is closely monitoring implementation of the compliance plans of sector players who are not compliant to ensure compliance with Statutory Instrument 206 of 2019.

1.19 Players in the above two sectors continue to struggle with meeting the required prescribed asset ratio as inflation induced growth in other assets continue to outstrip the growth in prescribed assets.

1.20 In terms of profitability the life assurance sector reported nominal profit after tax of ZWL\$34.12 billion for the six months ended 30 June 2020, an increase from ZWL\$2.21 billion reported in the comparative period of 2019.

1.21 After adjusting for annual inflation of 737.3%, profit for the life assurance sector grew by 84.54% to ZWL\$4.07 billion.

1.22 The after tax inflation adjusted profit for life reinsurers grew by 162.07% from ZWL\$4.11 million reported for the six months ended 30 June 2019 to ZWL\$10.77 million for the six months ended 30 June 2020.

1.23 The increase in profit after tax for both the life insurance sector and the life reinsurance sector was mainly driven by high investment returns from revaluation gains on equity investments.

1.24 Table 1 below shows the summary of key financial indicators.

Table 1: Financial Indicators

Financial aspect	Life Assurance				Life Reinsurers			
	Jun-20	Jun-20 Inflation adjusted	Jun-19	Growth (Inflation adjusted)	Jun-20	Jun-20 Inflation adjusted	Jun-19	Growth (Inflation adjusted)
GWP (ZWL\$000)*	1,178,013	140,692	252,182	-44.21%	41,813	4,994	6,554	-23.81%
NWP (ZWL\$000)	1,155,343	137,984	247,012	-44.14%	33,309	3,978	5,874	-32.28%
Claims (ZWL\$000)	653,905	78,097	113,156	-30.98%	4,972	594	2,040	-70.89%
Management operating expenses (ZWL\$000)	437,600	52,263	72,175	-72.28%	5,278	630	1,081	-41.69%
Commissions (ZWL\$000)	34,540	4,125	11,437	-63.93%	7,356	879	1,276	-31.15%
Technical costs (ZWL\$000)	1,126,045	134,485	196,768	-31.65%	17,606	2,103	4,397	-52.18%
Technical Profit (ZWL\$000)	29,298	3,499	50,244	-93.04%	15,416	1,841	1,477	24.66%
Profit after tax (ZWL\$000)	34,115,359	4,074,449	2,207,877	84.54%	90,164	10,768	4,109	162.07%
Financial aspect	Jun-20	Mar-20	Growth %		Jun-20	Mar-20	Growth	
Total Assets (ZWL\$000)*	49,808,782	21,229,594	134.62%		822,055	331,957	147.64%	
Total Liabilities (ZWL\$000)	40,632,299	17,258,607	135.43%		334,332	157,754	111.93%	
Capital (ZWL\$000)	9,176,483	3,970,987	131.09%		487,723	174,203	179.97%	
Capital to liability ratio	22.58%	23.01%	-0.42%		145.88%	110.43%	32.11%	
Prescribed assets (ZWL\$000)	4,599,392	2,101,212	2,498,180		1,950	3,851	-49.36%	
Prescribed assets ratio %	9.24%	9.90%	-1.11%		0.24%	1.16%	-0.92%	

**Income statement figures were adjusted using year on year inflation of 737.3% reported for the month of June 2020.*

Source: <https://www.rbz.co.zw/index.php/research/markets/inflation>

***Balance sheet figures were compared on a nominal basis*

2. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines life assurance sector developments and IPEC's various activities in the life assurance sector consistent with its statutory mandate during the first half ending 30 June 2020.

3. Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

4. Economic Developments

4.1 World and Regional Economic Outlook

4.1.1 The COVID-19 pandemic has continued to worsen the world economy outlook for 2020.

4.1.2 The global economy which was initially projected to decline by 3.9% in 2020 (as a result of COVID-19) is now projected to decline by 4.9%.

4.1.3 Advanced economies will experience a deep recession with a projected contraction of 8% in 2020.

4.1.4 Sub-Saharan Africa faces a triple shock - health shock from COVID-19, macroeconomic shock due to COVID-19 induced restrictions and food security shock due to supply chain disruptions and droughts.

4.1.5 The World Bank projects that economic growth in Sub-Saharan Africa will decline to negative 5.1% in 2020 from a growth of 2.4% in 2019, marking the region's first recession in 25 years.

4.2 Domestic Economic Outlook

4.2.1 Treasury projects Zimbabwe's economy to contract by 4.5% in 2020 from an initial growth projection of 3% (Mid-term Fiscal Policy Statement). The projected negative growth is on account of climatic shocks in the form of the 2019/20 drought and cyclone Idai, energy challenges, currency volatility and the impact of COVID-19 pandemic.

4.2.2 The International Monetary Fund, however, projects that Zimbabwe's economy will experience a deeper decline of 7.4% (IMF 2020) compared to Treasury's projection of 4.5%.

4.2.3 The economy will experience a severe contraction in tourism, which earns around US\$1 billion annually, because of extensive travel restrictions. The country is however anticipated to rebound in 2021 to a marginal growth of 2.5%.

4.2.4 The Finance, Banking and Insurance services sector is projected to contract by 7.1% from the initial estimated growth of 1.2%.

4.2.5 For the insurance and pensions industry the impact of COVID-19 has negatively affected premiums and contributions.

4.3 Currency Reforms and Exchange Rate Developments

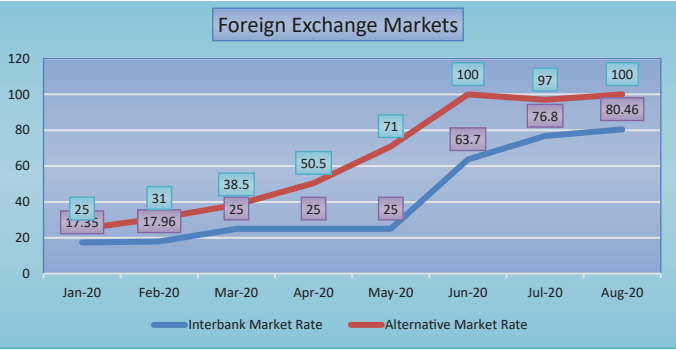
4.3.1 ZWL\$/US\$ exchange rate was 1:16.08 on 2 January 2020 and remained flat at 25 from March until June when the Foreign Currency Auction System was introduced which saw the exchange rate moving to 1:63.7.

4.3.2 The alternative exchange market traded at a premium to the Interbank market.

4.3.3 However, the rates have been showing signs of convergence and low volatility since the adoption of the Foreign Auction System.

4.3.4 The table below shows exchange rate developments from January to August 2020.

Fig 1: Foreign Currency Exchange Rates



Source: RBZ, Market Watch

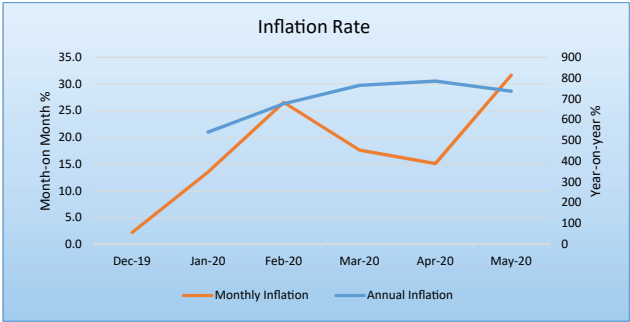
4.4 Inflation Developments

4.4.1 During the quarter under review, inflation remained on an upward trajectory spiking from 176% in June 2019 to 737.3% in June 2020.

4.4.2 Month-on-month inflation averaged 17.08 % for the first half of 2020.

4.4.3 The figure below shows inflation developments for the first half of the year:

Fig 2: Inflation Developments



4.4.4 Whilst the inflation rate remained high during the first half of 2020, the Central Bank forecasts that the annual inflation will gradually fall to about 249% by December 2020, following foreign exchange market stability ushered in by the introduction of the foreign exchange auction system on 23 June 2020.

4.4.5 Such developments will positively influence developments in the insurance and pensions industry after the second episode of loss of value following hyperinflation that characterised currency reforms.

4.5 Trends in the Real Estate Market

4.5.1 The insurance and pensions industry particularly pension funds and life companies whose major investments are in the form of property continue to face challenges from low occupancy. Rental income continue to lag behind inflation rate. The industry, however, got a reprieve following the gazetting of Statutory Instrument 85 of 2020 which facilitated dual pricing and enabled consumers with free funds to pay for goods and services on United States dollar as a measure to stabilise financial markets in response to the COVID-19 lockdown;

4.5.2 Accordingly, some property owners now prefer holders of free funds as tenants. However, this trend may further result in low occupancy ratios as most tenants' earnings are in local currency.

4.5.3 Furthermore, the Government, through Statutory Instrument 96 of 2020 provided a reprieve to tenants to accumulate rental arrears by making payment plans with their landlords to alleviate the negative effects of COVID-19 on economic activity for a period of three months.

4.5.4 Although the promulgation of the Statutory Instrument had negative effects on insurance and pensions industry property holders, its expiration brought some relief to the sector.

4.6 Trends on the ZSE

4.6.1 During the first half of 2020, the equities market was dominated by strong bullish sentiments, registering a 681.6% growth in market capitalisation from ZWL\$29.231 billion at the beginning of the year to ZWL\$228.87 billion by 26 June 2020.

4.6.2 The suspension of trading on the Zimbabwe Stock Exchange coupled with the suspension of mobile money based payment platforms on 26 June 2020 which were meant to pave way for investigations into the abuse of mobile money payment platforms brought some uncertainties in the insurance and pensions industry.

4.6.3 Trading however, resumed on 3 August 2020, albeit with all indices trending southwards with thin volumes. The three dually listed shares, namely Old Mutual, PPC and Seed Co International, remained suspended from trading and it is anticipated that these will be listed on the forex based Victoria Falls Securities Exchange (VFEX).

4.6.4 The suspension of the three shares is likely to affect the liquidity of insurance companies and pension funds as they are heavily invested on the stock exchange in a bid to hedge against inflation.

Victoria Falls Exchange Market

4.6.5 Government has already announced the launch of VFEX in order to attract critical offshore capital into the economy in order to buttress local resources.

4.6.6 This development will go a long way in preserving the insurance and pension industry assets as well as in aiding asset and liability matching, given that the industry has USD denominated liabilities.

4.7 Trends in the Money Market

4.7.1 Nominal monthly deposit rates for money market investments varied from 3.55% to 14.99 % against real negative returns of up to 86.66% and annual inflation rate of 737.30% as at 30 June 2020.

4.7.2 With such negative real returns, money market instruments became unattractive to the industry. However, with the need to meet immediate obligations, losses from investing in money market instruments are inevitable for the industry.

5. Sector Architecture

5.1 As at 30 June 2020, there were 12 registered life assurers and 4 registered composite reinsurers under the supervision of the Insurance and Pensions Commission (IPEC).

5.2 Life assurers had 1,357 agents comprising both corporate agents and individual agents.

5.3 As at 30 June 2020 the life assurance sector had 126 branches which were staffed by 2,050 employees.

5.4 Table 2 below shows number of agents, staff and branches for the life assurance sector as at 30 June 2020.

Name Of Company	Corporate Agents		Sole Agents		Staff		Branches	
	Jun-20	Jun-19	Jun-20	Jun-19	Jun-20	Jun-19	Jun-20	Jun-19
CBZ Life	3	3	35	49	51	40	2	2
Doves Life	0	0	90	0	72	72	26	26
Econet Life	0	0	0	0	36	21	1	1
Evolution Health and Life	0	0	0	0	30	29	11	10
Fidelity Life	0	0	53	76	20	99	7	11
First Mutual Life	0	0	216	216	182	202	9	9
Nhaka Life	1	1	26	27	9	13	3	6
Heritage Life	0	0	0	21	16	16	5	5
Nyaradzo Life	7	10	313	303	1133	1082	47	47
Old Mutual Life	12	11	197	245	360	354	2	6
ZB Life	0	0	152	236	55	46	8	13
Zimnat Life	0	0	252	252	86	86	5	5
Total	23	25	1334	1425	2050	2060	126	141

5.5 For the half year ended 30 June 2020, the number of agents for the life assurance sector decreased by 93 agents from 1450 agents reported for the six-month endend 30 June 2019 to 1357 currently reported (30 June 2020).

The background of the slide features a dark blue gradient. In the center, there is a faint, light blue illustration of two hands cupped together, holding several stylized human silhouettes of various sizes. On the right side, there are large, white, outlined characters in a South Asian script, likely Tamil, which read 'அதிகாரம்' (Adhikaram), meaning 'Authority' or 'Power'.

Part A

Life Assurance Business

6. Performance in terms of Gross Premium Written

6.1 For the half year ended 30 June 2020, gross premium written by direct life assurers grew by 367.13% in nominal terms from ZWL\$252.18 million for the six months ended 30 June 2019 to ZWL\$1.18 billion for the current reporting period (See Table 3 below).

6.2 Growth in business from traditional life assurance products continues to be low, with growth rates well below the annual inflation rate which stood at 737.30% at the end of June 2020.

6.3 The main drivers of growth in GPW in nominal terms for the six months ended 30 June 2020 were fund business and funeral assurance business.

6.4 The table below shows the growth in business written by product line.

Table 3: Business composition by product line.

	2020 Q2	2020 Q2 (Inflation adjusted ZWL\$000)	2019 Q2	Real Growth after inflation adjustment	Nominal Growth (%)
Annuities	36,695	4,383	6,624	-33.84%	453.97%
Term Insurance	19,026	2,272	6,151	-63.06%	209.32%
Endowment	6,218	743	3,191	-76.73%	94.86%
Pure Endowment	1,868	223	1,730	-87.10%	7.98%
Whole Life	11,025	1,317	6,523	-79.81%	69.02%
Funeral	493,925	58,990	105,384	-44.02%	368.69%
Fund Business	442,964	52,904	91,825	-42.39%	382.40%
Other/GLA	166,293	19,861	30,754	-35.42%	440.72%
Totals	1,178,014	140,692	252,182	-44.21%	367.13%

Breakdown by product

6.5 In terms of business composition, 79.53% of the total Gross premium written was generated by both fund business and funeral assurance business as these two products continue to be the major sources of business for life assurance companies.

6.6 This reflects low appetite for traditional life assurance products such as endowment, term and whole life policies by the market.

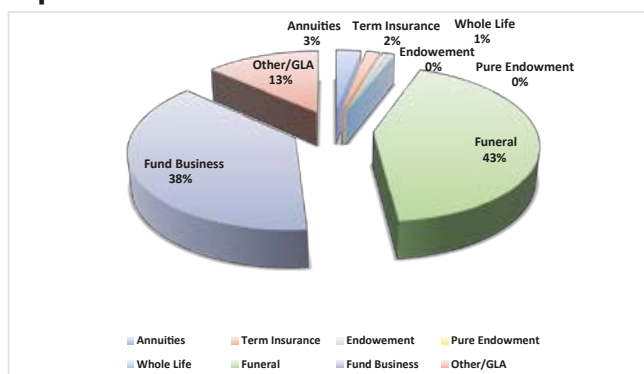
6.7 Funeral assurance products continue to be the most preferred life assurance products, a situation that may be attributable to the fact that most of these policies offer funeral services that have an implied built in inflation protection.

6.8 As the business environment continues to be fragile, players in the life assurance sector are faced with an insurmountable task of developing products that are relevant to the needs of their clients so that they remain relevant.

6.9 This calls for dedicated efforts by sector players in research and development of products and delivery channels that are customer centric, and also leverage on modern technology.

6.10 Figure 1 below shows the distribution of GPW by product.

Figure 3: Distribution of GPW by product



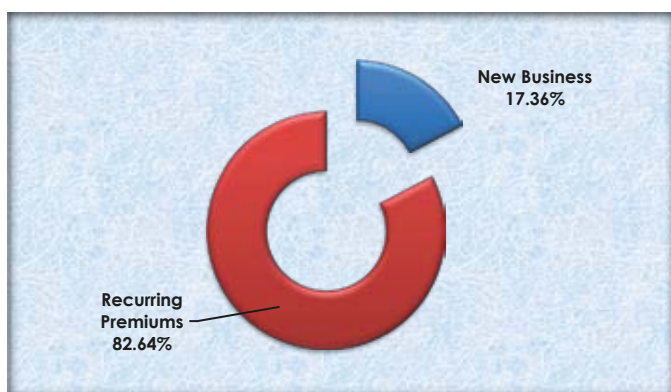
Breakdown of business by source

6.11 GPW by source of business for the life assurance sector continues to be skewed towards recurring business which accounted for 82.64% of total business written.

6.12 The low GPW generated from new business is reminiscent of the prevailing depressed and volatile macro-economic environment which has the negative effect of pushing assurance out of the average consumer's basket.

6.13 Figure 4: shows GPW composition by source.

Figure 4: Business Composition for Life Insurers



Not taken up (NTU) policies

6.14 For the six months ended 30 June 2020, the life assurance sector reported a total of 17,370 not taken up (NTU) policies with a total nominal gross premium of ZWL\$4.8 million (See Table 4 below). Not taken up policies might be partly as a result COVID-19 induced decline in consumer disposable income. Players are encouraged to have well trained front office staff and intermediaries to avoid miss-selling which may also be a cause of not taken up (NTU) policies.

Table 4: Not taken up policies

Company	Number of Policies	Nominal Gross Premium \$(000)
CBZ	154	9
Doves**	-	-
Econet	3,650	21
Evolution	-	-
Fidelity	9,057	288
First Mutual	187	70
Nhaka	227	5
Heritage	94	2
Nyaradzo	-	-
Old Mutual	91	4,124
ZB	220	9
Zimnat	3,690	306
Total	17,370	4,834

Lapsable policies and lapsed

6.15 For the half year ended 30 June 2020, the sector had a total of 2.6 million lapsable policies out of which 96,933 policies lapsed during the period, translating to a lapse ratio of 3.80%.

6.16 The lapse ratio of 3.80% compares favourably to the lapse ratio of 5.80% recorded for the comparative period ending 30 June 2019.

6.17 The Commission reminds sector players that all lapses should be treated in accordance with the law, with regards to grace period and notices that should be sent to clients.

Table 5: Lapse ratios

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporate)	Lapsed Policies (Others)	Lapse Ratio
CBZ	59,606	3,905	-	-	6.55%
Doves**	-	-	-	-	0.00%
Econet	1,487,424	48,161	-	-	3.24%
Evolution	43,292	-	-	-	0.00%
Fidelity	3,273	556	-	-	16.99%
First Mutual	118,129	13,824	-	-	11.70%
Nhaka	27,375	196	-	-	0.72%
Heritage	49	1,358	-	-	3.60%
Nyaradzo	692,891	20,654	-	-	2.98%
Old Mutual	74,203	1,565	-	-	2.11%
ZB	9,597	369	-	-	3.84%
Zimnat	35,452	3,553	-	-	10.02%
Total	2,551,291	94,141	-	-	3.69%

7. Capitalisation

7.1 Adequate capitalisation forms the backbone of a strong life assurance player, and by the same token adequately capitalised players form a resilient life assurance sector, which is crucial for policyholder protection in times of financial distress and high claims experience.

7.2 As at 30 June 2020, 9 out of 12 primary life assurers reported capital positions that were compliant with the MCR of ZWL\$75 million.

7.3 All players are required to continuously carry out capital adequacy self-assessments in line with the provisions of Statutory Instrument 95 of 2017, and report to the Commission with a re-capitalisation plan if their capital falls below the minimum required threshold.

7.4 Table 6 below shows the trend in capitalisation.

Table 6: Trends in the Capital Positions

Company	Capital Position Trend		
	2020 Q2 \$(000)	2019 Q2 \$(000)	2018 Q2\$(000)
C&Z	330,697	57,241	18,853
Doves**	198,179	0	0
Econet	337,875	41,092	13,466
Evolution	40,379	5,823	3,186
Fidelity	796,251	4,379	6,666
First Mutual	324,784	83,547	82,097
Nhaka	39,769	9,396	7,075
Heritage	744	712	690
Nyaradzo	695,981	15,185	15,931
Old Mutual	5,638,827	679,260	288,326
ZB	599,591	48,757	16,621
Zimnat	123,051	52,354	27,262
Total	9,126,128	997,746	480,173

** Please note that Doves was regularised as a life insurer in the fourth quarter of 2019

7.5 The Commission has engaged institutions that are not compliant with minimum capital requirements to develop capitalisation compliance roadmaps which the Commission is closely monitoring to ensure compliance.

8. Asset Quality

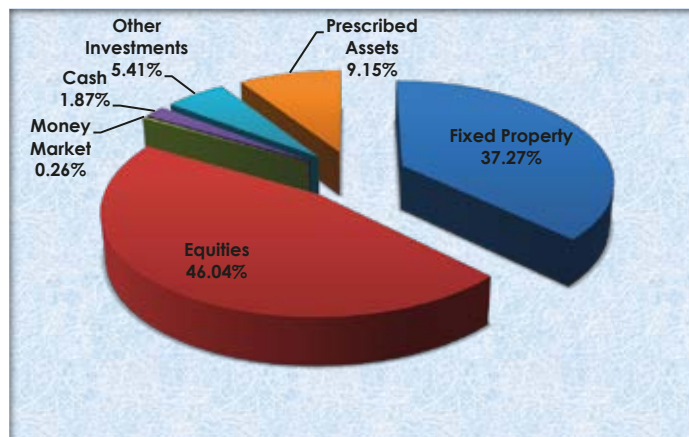
8.1 In nominal terms, total assets for the sector grew by 134.62% from ZWL\$21.23 billion reported as at 31 March 2020 to ZWL\$49.81 billion reported as at 30 June 2020.

8.2 Growth in the asset base of the life assurance sector was driven by an increase in the value of fixed properties and equities as these assets tend to track inflation.

8.3 In terms of composition of the asset base of life insurers, 83.31% was in fixed properties and equities. These two asset classes have continued to

offer inflation protection for policyholder funds.

8.4 Figure 5 below shows the asset breakdown for the life assurance sector as at 30 June 2020.



ment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares

Prescribed Assets

8.5 As at 30 June 2020, the total investments in prescribed assets by the life assurance sector amounted to ZWL\$4.6 billion translating to a sector prescribed asset ratio of 9.24%.

8.6 Eleven (11) of the twelve (12) life assurance players reported prescribed asset ratios that were below the minimum required threshold.

8.7 The Commission is monitoring sector players' adherence to their prescribed asset compliance plans, to make sure that they comply within stipulated timeframes.

8.8 Investments in prescribed assets help Government in funding infrastructure developments and other projects of national interest.

9. Reassurance

9.1 Reassurance is an important risk management tool that life assurance players should utilise to protect their balance sheet in times of high claims experience.

9.2 GPW amounting to ZWL\$1.18 billion was written by direct life assurers as at 30 June 2020. The sector ceded ZWL\$22.67 million, translating to a 1.92% reassurance ratio.

9.3 The reassurance ratio for the life assurance sector continues to be low mainly on account of a significant GPW portion that is generated from fund and funeral assurance businesses which are traditionally not reassured.

10. Earnings

10.1 In nominal terms, total profit after tax for life assurers increased from ZWL\$2.21 billion for the six months ended 30 June 2019 to ZWL\$34.12 billion for the six months ended 30 June 2020.

10.2 This translates to an inflation adjusted increase of 84.54% to ZWL\$4.07 billion, indicating that the sector's profits managed to outpace inflation.

10.3 Growth in profits for the life assurance sector was because of significant increases in investment income from revaluation gains on quoted equity investments.

10.4 The life assurance sector reported return on equity and return on assets of 371.77% and 68.49% respectively for the half year ended 30 June 2020 which shows a highly profitable sector.

10.5 The combined ratio for the life assurance sector increased from 79.07% for the six months ending 30 June 2019 to 95.59% for the comparable period in 2020 (See annexure1). This shows that in real terms technical profitability decreased for the six months ended 30 June 2019 as compared to the six months ended 30 June 2019

11. Liquidity

11.1 For the half year ended 30 June 2020, the life assurance sector reported liquid assets which include cash and money market investments amounting to ZWL\$1.06 billion as compared to ZWL\$0.56 million reported as at 31 March 2020.

11.2 Liquid investments represented 2.14% of total assets as at 30 June 2020.

11.3 Current liabilities amounted to ZWL\$716 million against total current assets of ZWL\$1.98 billion, translating to working capital of ZWL\$1.27 billion.

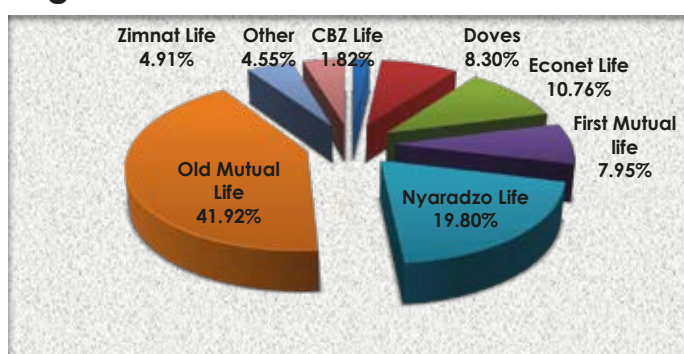
11.4 The life assurance sector's average current ratio was 2.77 times as at 30 June 2020 reflecting adequate liquidity to cover short-term contractual and other obligations as they fall due.

12. Market Share

12.1 For the half year ended 30 June 2020, two players dominated the sector with a combined market share of 61.72% while the remaining players shared the balance.

12.2 Figure 6 below shows the market share distribution for the life assurance sector in terms of GPW.

Figure 6: Market Share in terms of GPW

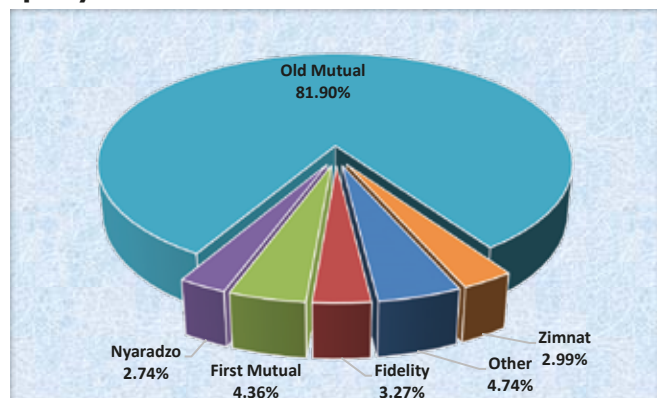


**Other comprises Evolution Life, Fidelity Life, ZB Life, Heritage Life and Nhaka Life*

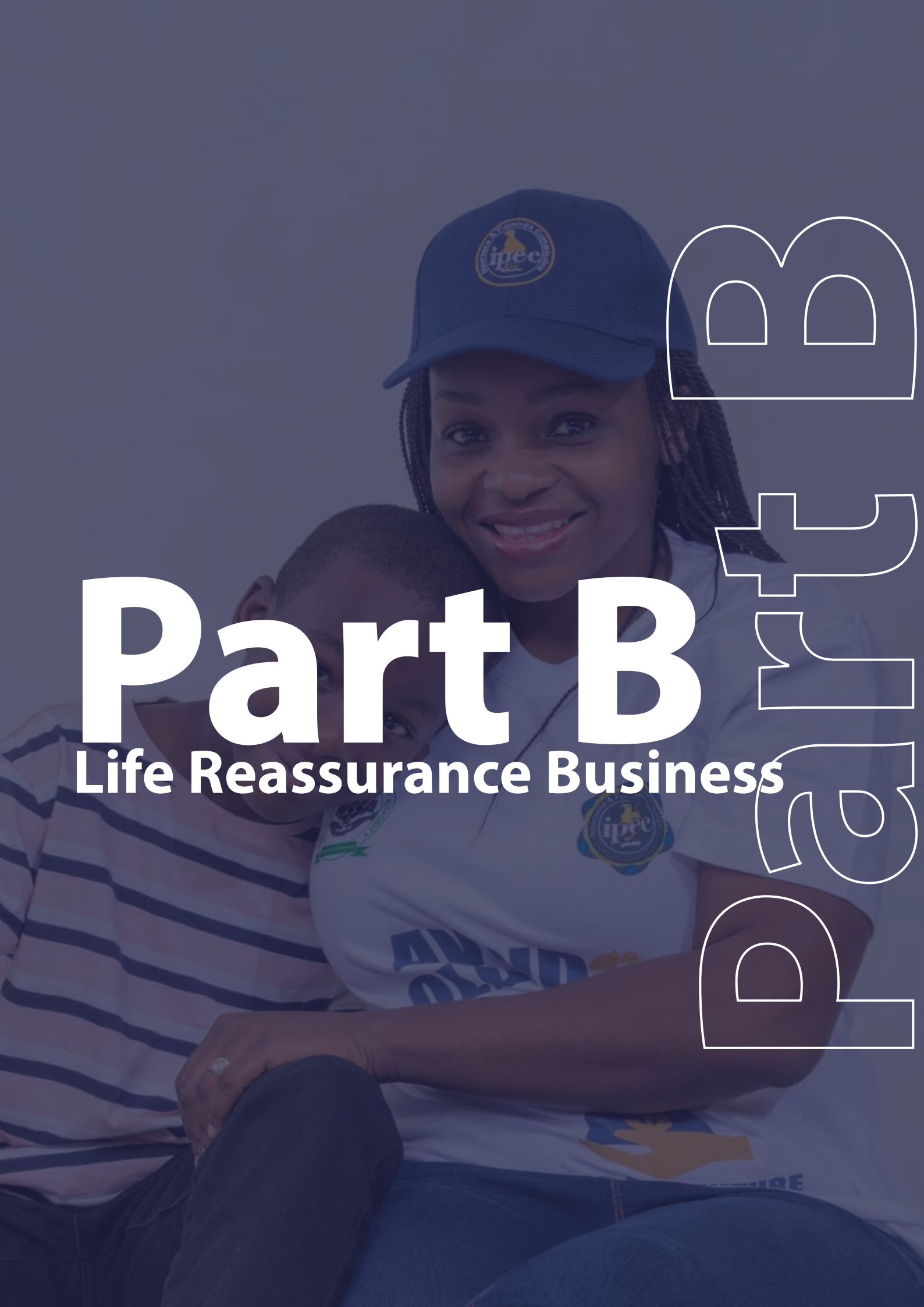
12.3 In terms of total assets, one player dominated the sector with a share of 81.90% of total assets while the remaining 11 players shared the remaining 18.1%.

Figure 7 on the next page shows the distribution of assets by player.

Figure 7: Distribution of assets by player.



Other CBZ Life, Evolution, Doves, Econet Life, ZB Life, Nhaka Life and Heritage.



Part B

Life Reassurance Business

13. Nature of the reinsurance business

13.1 While all reinsurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business,

13.2 The figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

13.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

14. Performance in terms of Business Written

14.1 The volume of life reinsurance business written, in terms of Gross premium written (GPW), increased by 539% from ZWL\$6.55 million reported in the six months ending 30 June 2019 to ZWL\$41.81 million for the six months ending 30 June 2020 (See table below).

14.2 The growth was attributable to an increase in premiums from group life assurance business which has inflation induced increases in premiums.

14.3 In real terms, the sector experienced a negative growth of 23.70% from ZWL\$6.55 million to inflation adjusted GPW of ZWL\$4.99 million

Table 7: Breakdown of GPW for reinsurers

Company	GPW 2020 Q2	2020 Q2 (Inflation adjusted ZWL\$000)	GPW 2019 Q2	Real Growth after inflation adjustment	Nominal Growth (%)
Emeritus Re	25,827	3,090	3,150	-1.91%	721%
FBC Re	7,751	926	584	58.51%	1227%
FM Re	3,653	436	927	-52.94%	294%
Zep Re**	4,537	542	1,884	-71.24%	141%
Total	41,813	4,994	6,545	-23.70%	539%

15. Capitalisation

15.1 As at 30 June 2020, one (1) out of four (4) life reinsurers reported a capital position that was compliant with the MCR of ZWL\$112.5 million.

15.2 Compliance with minimum capital requirements is a statutory requirement and players are required to be compliant at all the times.

15.3 The Commission encourages players to continuously carry out capital adequacy self-assessments in line with the provisions of Statutory Instrument 95 of 2017.

15.4 Table 8 below shows the trends in capital positions for reinsurers.

Table 8: Trend in the Capital Position for Composite Reinsurers

Company	Jun - 20 (ZWL\$000)	Mar-20 (ZWL\$000)	Dec-19 (ZWL\$000)	Sep-19 (ZWL\$000)	Jun-19 (ZWL\$000)
Emeritus Re	57,225	90,491	96,891	106,578	67,174
FBC Re	387,769	133,066	166,013	55,343	49,917
FM Re	28,080	54,514	29,613	21,844	11,521
Zep Re**	14,649	241,852	172,127	144,224	2,918
Total	487,723	519,950	464,644	327,989	131,530

Please note, the capital positions above comprises of both life and non-life reinsurance business (Composite Reinsurance Business).

16. Asset Quality

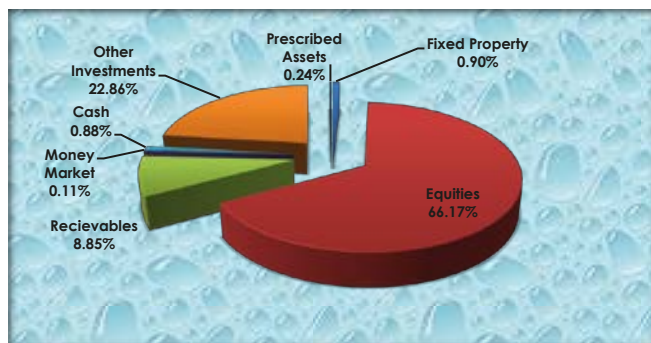
16.1 Total assets for life reassurers amounted to ZWL\$822.05 million for the six months ended 30 June 2020, a nominal increase of 147.64% from ZWL\$331.96 million reported as at 31 March 2020.

16.2 The growth in total assets was mainly due to increased equity values on account of significant fair value adjustments on the Zimbabwe stock exchange.

16.3 Equities constituted the bulk of total assets with a proportion of 67% of the total assets.

16.4 Liquid assets such as money market instruments and cash constituted only 0.1% of the total assets. The low percentage of liquid assets is inconsistent with the short-term nature of reinsurance contracts which require frequent payoffs.

Figure 8: Life Reassurers Total Assets



Other investments below include plant and equipment, deferred tax asset, deferred acquisition costs, technical assets and unquoted shares

16.5 The Commission continues to encourage players in the reinsurance sector to invest in value preserving assets over and above investments in prescribed assets to protect the underlying policyholder funds in the books of life assurance companies in order for them to offer protection to policyholders.

Prescribed Assets

16.6 All the four (4) composite reinsurance players reported prescribed asset ratios that were below the minimum required threshold of 15% as at 30 June 2020.

16.7 Total investments in prescribed assets by the life reinsurance sector amounted to ZWL\$1.95 million translating to a sector average prescribed asset ratio of 0.24%.

16.8 The Commission is closely monitoring implementation of compliance road maps by sector players to achieve compliance.

16.9 Prescribed Assets investments are an important resource mobilisation tool for funding infrastructure development by the Government.

16.10 Table 9 on the next page shows prescribed asset ratios for composite reinsurance players.

Table 9: Prescribed assets ratios for sector players.

Reinsurer	Prescribed asset	Total assets	Prescribed asset ratio	Amount required to be compliant	Variance in compliance%
	Investments				
Emeritus Re	0	76,281	0.00%	11,442	-15%
FBC Re	1,950	681,049	0.29%	102,157	-15%
FM Re	0	48,947	0.00%	7,342	-15%
Zep Re	0	15,777	0.00%	2,367	-15%
Total	1,950	822,054	0.24%	123,308	-14.8%

17. Earnings

17.1 For the six months ended 30 June 2020 the inflation adjusted profit after tax for the composite reinsurance sector increased by 162.07% from ZWL\$4.1 million reported for the half year ended 30 June 2019 to ZWL\$10.77 million.

17.2 The increase in profit after tax is mainly attributable to significant increases in investments income.

17.3 For the half year ended 30 June 2020, composite reassurers reported an inflation adjusted profit of ZWL\$1.84million, an increase of 24.66% from ZWL\$1.48 million reported for the half year ended 30 June 2019.

17.4 The life reinsurance sector had a combined ratio of 53% for the half year ended 30 June 2020.

18. Liquidity

18.1 For the half year ended 30 June 2020, the composite reinsurance sector's nominal liquid assets amounted to ZWL\$8.26 million, constituting 1% of total assets.

18.2 Working capital for the composite reinsurance sector amounted to ZWL\$57.21 million as at 30 June 2020, an increase from ZWL\$53.02 million as at 31 March 2020.

18.3 The life reinsurance sector's average current ratio was 118% as at 30 June 2020 showing adequate liquidity to cover short-term contractual obligations as they fall due.

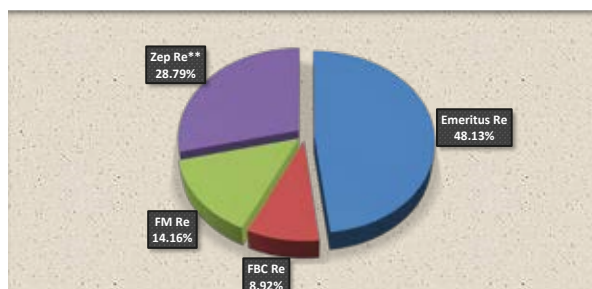
19. Market Share

Market Share in terms of GPW

19.1 GPW for the life reinsurance sector remains concentrated in two players, controlling a combined market share of 76.92% while the remaining 2 players controlled the remaining 23%.

19.2 The breakdown of the sector's GPW among players is as shown in the figure below.

Figure 9: Market Share by Gross premium written

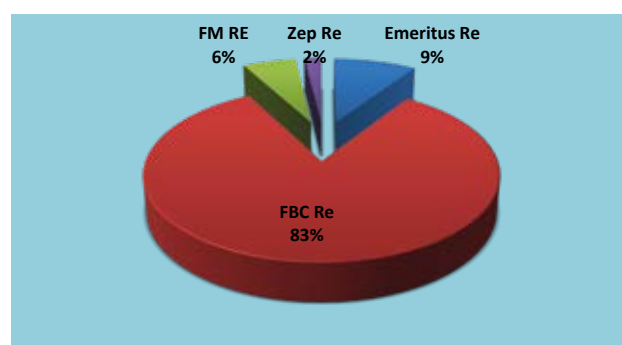


Market Share in terms of total assets

19.3 In terms of total assets, two players controlled 82.85% of the total assets, while the remaining 3 players controlled 17% of the sector total assets.

19.4 The breakdown of sector assets by players is as shown in figure 10 on the next page.

Figure 10: Market Share distribution in terms of total assets



20. Complaints

20.1 During the quarter under review, the Commission received only two (2) complaints which related to low benefits pay-out, and late payment of benefits. Both complaints are still under investigation.

20.2 The Commission urges Life assurance companies to communicate and avail adequate information to their policyholders to avoid such disputes.

20.3 Regarding late payment of benefits, the Commission urges insurers to timeously pay benefits to policyholders so that they can get time value for their money, given the inflationary environment that the country is currently operating under.

21. Conclusion

21.1 The Commission is cognisant of the obtaining challenging economic environment that the life assurance and composite reinsurance sectors are operating in and urges players to be innovative in their products offering in order to remain relevant.

21.2 Players are also encouraged to re-engineer their business models by leveraging on modern technology to improve their revenue streams and their visibility in the market place. This enables players to compete well in a marketplace that is becoming more global in nature.

21.3 The Commission would also like to remind players that compliance with all regulations is a requirement, and not an option.

21.4 The Commission thanks the life assurance industry for ensuring business continuity in the wake of the continued lockdown as a result of Covid-19 Pandemic.



Annexures

Annexures

ANNEXURE 1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 30 JUNE 2020 (000)																		
	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total Q2 2020	Total Q2 2019	Growth	Inflation adjusted 2020	Growth	
Gross Written Premiums	21,452	97,732	126,681	1,668	24,763	93,632	1,812	235	233,184	493,709	25,298	57,847	1,178,013	252,182	367%	140,692	-44.21%	
Reinsurance Premiums	176	-	5,026	2	3,119	925	21	3		8,763	925	3,710	22,670	5,170	338%	2,708	-47.63%	
Net Written Premiums	21,276	97,732	121,655	1,666	21,644	92,707	1,791	232	233,184	484,946	24,373	54,137	1,155,343	247,012	368%	137,984	-44.14%	
Increase/(Decrease) in UPR	762	-		6				1	-			2,732	3,501	12,813	-73%	418	-96.74%	
Net Earned Premiums	20,514	97,732	121,655	1,660	21,644	92,707	1,791	231	233,184	484,946	24,373	51,405	1,151,842	234,199	392%	137,566	-41.26%	
Transfer to IBNR	737	-	7,299	25	24,411	-	97		-			-	32,569	1,448	2149%	3,890	168.63%	
Claims paid	3,035	24,372	40,692	475	5,975	14,486	283	17	192,086	307,337	9,501	10,764	609,023	110,112	453%	72,737	-33.94%	
Outstanding claims	203	9,737				-	13		-		107	2,253	12,313	1,596	671%	1,471	-7.86%	
Net claims	3,975	34,109	47,991	500	30,386	14,486	393	17	192,086	307,337	9,608	13,017	653,905	113,156	478%	78,097	-30.98%	
Net Commission Incurred	631	7,551	-	520	628	2,422	218	13	11,818	2,380	5,432	2,927	34,540	11,437	202%	4,125	-63.93%	
Technical Result	15,908	56,072	73,664	640	(9,370)	75,799	1,180	201	29,280	175,229	9,226	35,461	463,290	109,606	323%	55,331	-49.52%	
Operating Expenses	28,940	38,709	13	860	14,732	67,939		589		127,681	23,717	20,384	323,564	49,413	555%	38,644	-21.79%	
Underwriting Result	(13,032)	17,363	73,651	(220)	(24,102)	7,860	1,180	(388)	29,280	47,548	(14,491)	15,077	139,726	60,193	132%	16,688	-72.28%	
Management expenses	-	-	3,041				2,212		94,121			14,662	114,036	22,762	401%	13,619	-40.17%	
Investment Income	8,706	-	210,734		150,315	1,133,191		19	372	30,344,158	1,499	31,498	31,880,492	2,128,462	1398%	3,807,535	78.89%	
Unrealised Gains/Losses		-			181,013	29,105	16,292						226,410	-	0%	27,040	100.00%	
Other expenses	3,642	-	55,899	58		8,550	-	(57)	8,759			(47)	76,804	16,763	358%	9,173	-45.28%	
Other Income	180,495	1,425	21		146	6,147	15,888	9	86,153	244,113	602,846	864,845	2,002,088	66,041	2932%	239,112	262.07%	
Profit Before Tax	172,527	18,788	225,466	(278)	307,372	1,167,753	31,148	(303)	12,925	30,635,819	589,854	896,805	34,057,876	2,215,171	1437%	4,067,583	83.62%	
Taxation	37	-	1,810		-	1,748		-	3,147	(79,612)	15,009	378	(57,483)	7,294	-888%	6,865	-194.12%	
Profit After Tax	172,490	18,788	223,656	(278)	307,372	1,166,005	31,148	(303)	9,778	30,715,431	574,845	896,427	34,115,359	2,207,877	1445%	4,074,449	84.54%	
Transfer to policyholders funds				3	307,590	1,036,727				26,002,480	282,217	882,705	28,511,722	1,907,876	1394%	3,405,198	78.48%	
Other comprehensive income					28,420	-				-			28,420	-	0%	3,394	0.00%	
Retained Income	172,490	18,788	223,656	(281)	28,202	129,278	31,148	(303)	9,778	4,712,951	292,628	13,722	5,632,057	299,817	1778%	672,645	124.35%	
Ratio Analysis																		
Claims Ratio	19%	35%	39%	30%	140%	16%	22%	7%	82%	63%	39%	24%	57%	46%	24%			
Expense Ratio	136%	40%	3%	52%	68%	73%	124%	254%	40%	26%	97%	65%	38%	29%	30%			
Commission Ratio	3%	8%	0%	31%	3%	3%	12%	6%	5%	0%	22%	5%	3%	5%	-35%			
Combined Ratio	158%	82%	42%	113%	211%	92%	158%	267%	128%	90%	159%	94%	97%	80%	22%			

ANNEXURE 2. STATEMENT OF FINACNIAL POSITION FOR LIFE ASSURERS AS AT 30 JUNE2020 (000)															
	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total	Growth	Total Q1 2020
ASSETS															
Non-Current Assets															
Intangible assets	81		6,062	47	358						(24,599)	88	(17,963)	-148.24%	37,236
Property and equipment	83,423	25,984	35,969	3,564	198,595	622	661	38	742,274	19,423	60,066	5,151	1,175,770	28.47%	915,237
Investment property	225,511	206,732	38,439	11,222	524,693	977,665	23,000	662	74,942	15,405,314	164,961	822,953	18,476,094	114.45%	8,615,573
Investments and securities	48,227			25,881	309,823	13,731	120	152	23,079	11,919	390,971	573,690	1,397,593	17.50%	1,189,422
Investment assets	1,747	-	29,738	5	557,596	987,427	18,238		7,909	24,186,575	27,869		25,817,104	194.08%	8,778,909
Investments in Associated Companies											539,995	715	540,710	48.23%	364,786
Other Non-Current Assets		2,494				136,656	-	5	171,941	166,975	-	6,327	484,398	105.85%	235,314
Total Non-Current Assets	358,989	235,210	110,208	40,719	1,591,065	2,116,101	42,019	857	1,020,145	39,790,206	1,159,263	1,408,924	47,873,706	137.75%	20,136,477
Technical Assets															
Reinsurers' Share of O/S Claims				-									-	0.00%	0
Deferred Acquisition Cost (DAC)	-	-	-	-	-	-	-	-	-	-	-	-	-	0.00%	0
Total Technical Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	0.00%	0
Current Assets															
Cash & bank balances	8,228	17,495	10,665	37	15,348	30,672	190	155	44,487	759,314	1,699	43,683	931,973	153.28%	367,960
Short term Investments	3,366	30	243,382		2,239	14,049		150	19,762	141,386	464	9,160	433,988	95.30%	222,219
Other investments		-				-							-	0.00%	0
Premium Receivables	3,452	479	97,568	5	18,601	9,164	150	(42)	38,831	25,953	1,413	21,644	217,218	7.54%	201,996
Intercompany Investments		-		769		-							769	0.00%	584
Other current assets	572	24,339		-	1,250	2,708	101	151	241,045	74,755		6,207	351,128	16.90%	300,358
Total Current Assets	15,618	42,343	351,615	811	37,438	56,593	441	414	344,125	1,001,408	3,576	80,694	1,935,076	77.02%	1,093,117
TOTAL ASSETS	374,607	277,553	461,823	41,530	1,628,503	2,172,694	42,460	1,271	1,364,270	40,791,614	1,162,839	1,489,618	49,808,786	134.62%	21,229,594
Liabilities															
Deferred Tax Liabilities		831		7		4,166			163,626	140,911	24,493	675	334,709	-18.05%	408,434
Future policyholders benefits	9,809	22,527		370	521,931	1,799,412		309	359,126	34,823,672	520,873	1,325,287	39,383,316	142.06%	16,270,093
Short term loans		-				6,786							6,786	0.00%	-
Long term Loans		1,740			25,480				702	-		1,090	29,012	-23.81%	38,076
Current Tax provisions				8	2,127	-				-	1,906		4,041	267.36%	1,100
Gross Outstanding Claims	1,204			15	856	1,566	13			12,004	448	5,671	21,777	73.30%	12,566
IBNR	1,391		9,400	133		849	-					-	11,773	14.17%	10,312
UPR	7,685		577	95			-		10,439			2,732	21,528	42.85%	15,070
Creditors		(3)	110,686	523	281,500	34,751			126,241	61,953		26,762	642,413	406.54%	126,824
Amount due to reinsurers			244	-		-						56	300	-26.65%	409
Other Liabilities	23,821	4,281	3,041	-		379	2,679	219	8,155	114,247	15,530	4,292	176,644	-52.99%	375,723
Total Liabilities	43,910	29,376	123,948	1,151	831,894	1,847,909	2,692	528	668,289	35,152,787	563,250	1,366,565	40,632,299	135.43%	17,258,607
SHAREHOLDERS' EQUITY															
Share Capital	0	1,000	0	0	1,092	1	20	1,680	400	132	232	200	4,757	0.02%	4755.92
Share Premium	1,388		5,685	2,435	671	10,706	4,602			29,990	4,432	450	60,359	0.00%	60359
Revaluation & Other Reserves	79,465	3,273	39,354	34,160	69,681	2,014		1,163	3,840	14,410	53,808	2,479	303,647	94.24%	156328
Treasury shares											29,156		29,156	0.03%	29146
Prior years earnings	77,354	225,118	69,180	4,065	383,039	182,786	-	(1,796)	(21,880)	861,990	219,228	115,296	2,114,380	10.50%	1913384
Current year retained	172,490	18,789	223,656	(281)	341,767	129,278	35,146	(303)	11,247	4,712,951	292,735	4,626	5,942,101	484.62%	1016399
Minority interest					359	-			702,374	19,354			722,087	-8.67%	790,611
Shareholders's Equity	330,697	248,180	337,875	40,379	796,609	324,785	39,768	744	695,981	5,638,827	599,591	123,051	9,176,487	131.09%	3,970,983
TOTAL EQUITY & LIABILITIES	374,607	277,556	461,823	41,530	1,628,503	2,172,694	42,460	1,272	1,364,270	40,791,614	1,162,841	1,489,616	49,808,786	134.62%	21,229,590
Ratio Analysis															
Solvency Ratio	0.13	0.12	0.37	0.03	1.04	5.69	0.07	0.71	0.96	6.23	0.94	11.11	4.43	2%	4.35
Current Ratio (Liquidity)	46%	829%		104%	13%	117%	16%	189%	112%	304%	8%	201%	159%	38%	115%

ANNEXURE 3 ASSETS BREAKDOWN OF THE LIFE ASSURANCE INDUSTRY																						
	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)			
	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	var	Mar-20	Jun-20	Growth	
CBZ	124,948	301,696	141%	10,754	48,227	348%	11,308	3,367	-70%	2,939	8,227	180%	15,325	6,281	-59%	1,722	6,809	295%	166,996	374,607	124.32%	
Doves	25,426	25,984	2%	2,496	2,494	0%	-	-	0%	4,042	17,495	333%	231,286	231,551	0%	30	30	0%	263,280	277,554	0.00%	
Econet	-	-	0%	87,355	382,439	338%	1,938	729	-62%	20,909	10,665	-49%	60,053	38,492	-36%	9,711	29,498	204%	179,966	461,823	156.62%	
Evolution	3,578	3,655	2%	25,881	25,881	0%	-	-	0%	6	42	600%	11,920	11,948	0%	5	5	0%	41,390	41,531	0.34%	
Fidelity	-	374,693	100%	446,092	309,823	-31%	2,270	2,239	-1%	5,299	15,348	190%	380,013	557,596	47%	79,818	368,446	362%	913,492	1,628,145	78.23%	
First Mutual	6,833	149,150	2083%	373,243	977,665	162%	12,441	14,049	13%	8,030	30,672	282%	721,635	987,427	37%	72,301	13,731	-81%	1,194,483	2,172,694	81.89%	
Nhaka	17,000	42,151	148%	-	-	0%	-	-	0%	76	190	150%	8,264		-100%	320	120	-63%	25,660	42,461	65.48%	
Heritage	38	38	0%	551	551	0%	264	264	0%	155	155	0%	114	114	0%	150	150	0%	1,272	1,272	0.00%	
Nyaradzo	801,708	1,194,091	49%	21,354	30,988	45%	5,079	3,334	-34%	16,019	44,487	178%	264,853	74,942	-72%	4,159	16,428	295%	1,113,172	1,364,270	22.56%	
Old Mutual	6,758,233	15,429,854	128%	6,828,868	20,238,189	196%	61,216	69,086	13%	291,469	759,314	161%	224,041	180,807	-19%	1,921,407	4,114,364	114%	16,085,234	40,791,614	153.60%	
ZB	46,303	164,961	256%	120,414	390,971	225%	286	464	62%	3,088	1,699	-45%	413,709	599,912	45%	4,790	4,833	1%	588,590	1,162,840	97.56%	
Zimnat	342,342	875,467	156%	172,909	523,891	203%	84,938	38,436	-55%	28,154	43,683	55%	19,913	6,509	-67%	7,799	1,632	-79%	656,055	1,489,618	127.06%	
Total	8,126,409	18,561,740	128%	8,089,917	22,931,119	183.45%	179,740	131,968	-27%	380,186	931,977	145%	2,351,126	2,695,579	15%	2,102,212	4,556,046	117%	21,229,590	49,808,429	134.62%	

ANNEXURE 4 ASSET BREAKDOWN FOR COMPOSITE REASSURERS																					
	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	Var	Mar-20	Jun-20	var	Mar-20	Jun-20	Growth
Emeritus Re	0	0	0%	12,104	22,777	88%	0	0	0%	673	4,739	604%	19,747	48,765	147%	1,081	0	-100%	33,605	76,281	127%
FBC Re	0	0	0%	84,678	480,199	467%	461	933	102%	5	5	0%	177,449	197,962	12%	2,760	1,950	-29%	265,353	681,049	157%
FM RE	0	0	0%	18,339	45,872	150%	470	0	100%	1,087	2,579	137%	3,098	496	-84%	10	0	-100%	23,004	48,947	113%
Zep Re	0	0	0%	0	0	0%	0	0	0%	0	0	0%	9,995	15,777	58%	0	0		9,995	15,777	58%
Total	0	0	0%	115,121	548,848	377%	931	933	0%	1,765	7,323	315%	210,289	263,000	25%	3,851	1,950	-49%	331,957	822,054	148%